

**Draft for exact-file review**

Proposed language. Accepted source facts retain their original status. No execution, filing, payment or clearance is established by this edition.

Cradle host recovery agreement with Kelly Gang Mining and Demotte schedules

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This is a proposed synthetic instrument for exact-content review. It has not been signed, adopted, delivered to a counterparty or made effective. Existing accepted facts cited below remain controlling; new clauses are proposed terms, not retrospective evidence.

Operative-text convention: The clauses below are proposed contract language. “Shall” describes an obligation only upon future authorized execution and satisfaction of the stated conditions; no obligation, access right or operational activation arises from this unsigned draft.

1. Contracting parties and separate deployments

This proposed master form shall be entered into separately for each host schedule. The proposed Cradle contracting party is **Sable Harbor, LLC (SHI)**, the accepted parent legal entity, acting through its Cradle business. Project Cradle is a business/capability name, not a newly incorporated subsidiary. The individual signatory and delegated contracting authority must be confirmed before execution. Kelly Gang Mining and Demotte Reclamation Services are separate fictional external hosts. Execution of one schedule shall neither bind the other host nor give it access to the other's commercial or process records.

The agreement shall grant only the intervention, access and captured-material rights described in the selected schedule. It shall not transfer the host mine, environmental treatment system, land, workforce or general production authority. Existing accepted Cradle operating facts remain in force independently of this later proposed paper instrument. This draft is not presented as the previously executed agreement that established those facts.

The proposed initial term is three years from a future recorded effective date, renewable by written agreement. That duration is a negotiable new term, not a canonized historical term. The schedule shall specify deployment and maintenance access windows without guaranteeing feed volume, composition, price, realized margin or uninterrupted host production.

2. Scope of grant and physical boundary

For Kelly Gang Mining, the host shall confirm the exclusive recovery right over the designated Stream 17 material during the agreement term. For Demotte, the grant shall cover only material captured through the defined controlled slipstream intervention. Neither grant extends to other host streams, unproduced minerals, host tailings inventories or groundwater interests.

Before adopting a definitive schedule, the parties shall identify the intervention boundary and capture point in a jointly accepted interface drawing. A study-area map, a modelled footprint or a generalized flowsheet is insufficient to identify a contractual transfer point. The drawing shall show only the commercial interface and responsibilities; operating procedures shall remain separately approved technical documents. If the drawing conflicts with actual field observations, affected recovery shall remain held while the boundary is reconciled.

Cradle shall own and maintain its recovery equipment, bear its direct recovery operating costs and keep an asset list tied to each deployment. Installation shall not make the host owner of that equipment. Host ownership of its underlying plant shall remain unchanged. Permanent changes to host assets shall require a separately approved work order specifying ownership, reinstatement and funding before work begins.

3. Host command and bypass rights

Host production and environmental treatment shall retain priority. The host may suspend feed or bypass the Cradle unit whenever operating, safety or environmental conditions require it. Cradle may also stop its own equipment when its operating range, maintenance condition or material identity is uncertain. A stop instruction requires a record of the observation and affected scope; the record does not by itself establish fault.

No exclusivity clause shall prevent use of the normal host treatment or production path. Bypass must remain available independently of Cradle equipment availability. Neither party may demand continued operation solely to meet a financial forecast. The agreement shall create no minimum feed obligation and no take-or-pay recovery revenue. A prolonged interruption shall trigger commercial review and, if unresolved for 90 days, a right for either party to end the affected deployment without a lost-volume penalty.

The host shall designate its operating contact and Cradle its deployment contact by role before activation. Neither party shall obtain command over the other's employees. Access to the host site shall require the host's ordinary access controls and a deployment-specific work scope; a visitor badge shall not confer process operating authority.

4. Material identity, title and segregation

The parties shall record each source, host process, designated stream, sampled lot, recovery run and captured intermediate under stable identifiers. The capture-point record shall identify time, location within the accepted interface, quantity basis, sampling basis and disposition. Recovered material shall be segregated or otherwise traceably identified until an authorized onward disposition is recorded. A missing lineage link shall cause a hold or qualified exception rather than a guessed replacement value.

For Stream 17, title to recovered Cradle material transfers at the agreed capture point, consistent with accepted canon. For Demotte, a proposed capture-point transfer clause shall define title only to the recovered intermediate; it shall create no ownership of the host water system, mine or remediation asset. That exact contractual point remains to be accepted. Physical custody, product title, measurement and revenue recognition must remain separately named: moving a batch to Bedford is not automatically a sale.

Any allocation of mixed or commingled lots shall retain source contributions and uncertainty. Cradle shall not use a convenient administrative stream label to overwrite the physical genealogy that created concentration. Disputed assay or mass measurements shall retain original and corrected observations, methods and reasons. The parties shall agree a qualified independent measurement reviewer for unresolved commercial disputes; this draft appoints none.

5. Product and sale boundary

The Stream 17 reference product is mixed REE mineral concentrate sold to a specialist downstream refiner. U.S. field units produce a traceable REE-rich intermediate, with Bedford supporting upgrading and blending to mixed concentrate or mixed-oxide product. This agreement does not authorize commercial separation of every individual REE or manufacture of magnets at a host site.

A downstream acceptance record shall identify batch, accepted quantity, specification, deductions, realized price and settlement status. A price quotation, estimated assay value or unsold inventory value shall not constitute realized sales proceeds. Cradle shall retain downstream commercial command within its delegated authority; the host participation clause shall not make the host the seller of Cradle's entire product book.

6. Settlement and supporting accounts

Kelly Gang Mining shall receive a negotiated participation in realized recovered-product value. The percentage and value definition are intentionally unresolved. Before execution, the parties shall specify eligible product proceeds, permitted deductions, currency, exchange-rate basis, settlement frequency and treatment of returns or disputed sales. No percentage, permanent tonnage or margin is supplied by this draft.

For Demotte, no host participation percentage is established by the cited canon. The proposed schedule therefore requires a separate choice between an agreed participation mechanism and another supported commercial arrangement. It does not copy Kelly Gang Mining's entitlement into Demotte by default. Until that choice is accepted, the schedule is not sufficient for billing or a financial model change.

The proposed settlement cycle shall be monthly, with a statement within 20 calendar days after month-end and payment of an undisputed amount within 30 calendar days after receipt of the supported statement. Those timing terms are proposed only. A statement shall identify downstream receipts, eligible lots, any agreed deduction, participation calculation, prior-period adjustment and amount payable. Cradle shall not net unrelated host claims against the statement without agreement. The host could inspect records necessary to verify its own participation, with unrelated customer and other-host information protected.

7. Kelly Gang Mining deployment schedule

Field	Proposed schedule content
Stable geographic record	SH-SITE-0023, Kelly Gang Mining / Stream 17 host operation
Accepted setting	Fictional Tasmanian industrial-minerals / heavy-mineral host
Designated material	Existing physical separation circuit's Stream 17; monazite-bearing heavy-mineral fraction
Host retained authority	Mine and plant operation; unrestricted normal-process bypass
Cradle equipment / cost	Cradle-owned recovery equipment; direct recovery cost borne by Cradle
Rights	Exclusive recovery right to designated Stream 17 material during accepted term; capture-point title to recovered material
Product	Mixed REE mineral concentrate for specialist downstream refiner
Unresolved commercial entries	Exact capture-point exhibit, term dates, participation percentage, eligible-value definition and settlement currency

No minimum eligible feed quantity is promised. A change to the host process that alters Stream 17 shall require a new source and interface review. Exclusivity follows the identified stream and does not require the host to redesign its mine around Cradle. Historical modest direct profitability and enterprise immateriality remain descriptive canon, not a contractual return guarantee.

8. Demotte deployment schedule

Field	Proposed schedule content
Stable geographic record	SH-SITE-0027, Demotte AMD host treatment and Gen 1 recovery deployment
Accepted setting	North-central West Virginia legacy underground-coal treatment operation
Intervention	Containerized/skid-based Gen 1 recovery module on controlled slipstream ahead of ordinary treatment

Field	Proposed schedule content
Host retained duty	Normal treatment, discharge obligations and immediate compliance consequences
Stop and bypass	Host may stop/bypass; normal treatment remains available at all times
Cradle retained duty	Recovery equipment, procedure, maintenance and direct operating costs
Product pathway	Identified recovered intermediate into material genealogy; Bedford remains a separate site
Unresolved entries	Interface/capture exhibit, commercial participation choice, access dates and approved maintenance scope

The observed Gen 1 fouling problem remains part of accepted development history. A proposed performance clause shall require recording downtime, changed field chemistry and maintenance findings; it shall not convert variable chemistry into host breach or erase unsuccessful runs. Gen 2 development and any replacement installation shall require a new work order rather than automatic substitution under a generic improvement clause.

9. Responsibility, insurance and exit

Each party shall bear supported loss caused by its own negligent or wrongful performance, subject to terms agreed after the relevant risk review. Cradle shall not assume historic mine remediation liability. The host shall not accept liability for all recovery-product value merely by allowing site access. No insurance policy, coverage limit or certificate is represented as obtained; deployment-specific evidence shall be required before adopting definitive risk terms.

On expiry or termination, Cradle shall stop new recovery, reconcile captured material and unpaid supported settlements, remove its equipment under an agreed safe work plan, and restore changes for which it accepted responsibility. Host ordinary treatment and production must remain available during removal. Historic contamination shall remain distinguished from deployment-caused damage. Disputed equipment or product title shall not be resolved by unilateral disposal.

Commercial disputes shall first go to the two designated contract owners, then enterprise Legal and the host's authorized representative. Suspension rights remain available during dispute. Governing law, forum, service addresses, legal-party identity and execution authority remain unfilled matters for definitive review; no external legal enforceability conclusion is supplied here.

Execution and schedule completion

The parties shall complete the following fields for the specific instrument or deployment selected. An unfilled field is not zero, waived, agreed or inapplicable. No name or mark is placed in a signature cell. A role listed for review is not an additional contracting party.

Completion field	Proposed entry / current state
Selected instrument and schedule	UNSELECTED — identify exact site, deployment, right or service
Contracting party completion	Known parties are named in the clauses; confirm any unselected counterparty and individual authority before execution
Effective date and any separate commencement/activation date	UNESTABLISHED; no backdating
Material commercial variables not fixed in the clauses	UNAGREED; complete the relevant financial schedule before execution
Accepted exhibits and revisions	NOT ATTACHED; identify authoritative boundaries and source records
Governing law, forum and notice addresses	UNAGREED; definitive legal review required
Open exceptions and conditions precedent	UNSATISFIED unless individually supported in the execution record

Party / review role	Signatory name and authority reference	Signature / acknowledgment	Date
Sable Harbor, LLC (SHI), through Cradle — authorized signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Kelly Gang Mining OR Demotte — authorized host signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Cradle deployment owner — interface acceptance	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Host operating owner — interface acceptance	UNESTABLISHED	NOT SIGNED	UNESTABLISHED

Execution of this form shall not constitute satisfaction of a separate condition precedent. The commencement or activation record shall list each accepted exhibit and unresolved exception, identify who may authorize the next step, and remain separate from any record of cash payment or performed service.

Source documents

- docs/canon/CRADLE_CLOSEOUT_2026-09-06.md
- geospatial/registers/SITE_REGISTER.csv
- geospatial/facilities/RESEARCH_CAMPUSES.md
- Industrial ownership and formation record